

M/S K.L. Concast Pvt. Ltd. v. U.P. Power Corporation Ltd. And Others

Allahabad High Court · Division Bench · 19 April 2018 · Writ - C No. 59370 of 2012 · **Writ dismissed in default; 22.11.2012 conditional stay against disconnection on retrospective-tariff billing vacated**

HEADNOTE

On 22 November 2012 a Division Bench recorded the consumer's challenge to U.P. Power Corporation Ltd. giving the FY 2012-13 tariff retrospective effect from 1 October 2012, though it was published in the newspaper only on 23 October 2012. Counsel relied on Clause 3.8(a) of the U.P. Electricity Supply Code, 2005, Section 24(7) of the U.P. Electricity Reforms Act, 1999, and Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004 — each providing that a published tariff takes effect only seven days after publication — and on Section 62(6) of the Electricity Act, 2003. The petitioner did not dispute the Commission's tariff determination. The Court held that the matter required consideration, issued notice, impleaded the Commission, and stayed disconnection on the impugned bill on conditions: payment at the new tariff from 1 November 2012; payment at the prior tariff for October 2012 and of any pre-October amount in the bill by 10 December 2012; and a bank guarantee for the October difference by that date, without prejudice, with automatic vacation on default and with late-payment surcharge and interest recoverable if the writ failed. On 19 April 2018 none appeared to press the writ. It was dismissed in default and the interim order vacated, without a construction of Clause 3.8 or Section 24(7).

FACTUAL SUMMARY

M/s K.L. Concast Pvt. Ltd. challenged an electricity bill that applied UPPCL's new 2012-13 tariff from 1 October 2012, though the tariff was published in the newspaper only on 23 October 2012. The petitioner did not dispute the tariff as determined by the U.P. Electricity Regulatory Commission, and challenged only the retrospective effect. Counsel invoked Clause 3.8(a) of the U.P. Electricity Supply Code, 2005, Section 24(7) of the U.P. Electricity Reforms Act, 1999, and Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004 — each said to make a published tariff effective only seven days after publication (31 October 2012) — and Section 62(6) of the Electricity Act, 2003 as a bar on recovering a tariff in excess of that determined under Section 62. After a 9 November 2012 listing for instructions, UPERC was impleaded as respondent no. 4. On 22 November 2012 notice issued and disconnection on the impugned bill was stayed on conditions. On 19 April 2018 none appeared; the writ was dismissed in default and the interim vacated.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.8

Interim stay of disconnection where a published tariff is given effect from a date before the seven-day publication window; writ later dismissed in default

QUESTION

Where a Commission-determined tariff is published on 23 October 2012, may the licensee apply it from 1 October 2012, or does Clause 3.8(a) confine its effect to seven days after publication?

HOLDING

Not decided on merits. The Court recorded the submission that publication on 23.10.2012 meant the new tariff could take effect only on 31.10.2012, held that the matter required consideration, issued notice, and as interim relief directed that supply would not be disconnected on the impugned bill if: (i) from 1.11.2012 the petitioner paid at the new tariff; (ii) for October 2012 it paid at the prior tariff by 10.12.2012; (iii) any pre-October amount in the bill was paid by that date; and (iv) the October difference was covered by a bank guarantee by that date, without prejudice. Default would vacate the stay automatically; if the writ were dismissed or the stay vacated, surcharge, interest and other late-payment charges would be recoverable from the guarantee and otherwise. The writ was later dismissed in default without construing Clause 3.8. ¶ 2

QUALIFIER

Prima facie and interlocutory (22.11.2012, Satya Poot Mehrotra, J. and Het Singh Yadav, J.); the petition was dismissed in default on 19.4.2018 (Bharati Sapru, J. and Siddharth, J.).

FLAG Three unnumbered order-sheets treated as paras 1 (9.11.2012 listing for instructions), 2 (22.11.2012 interlocutory), 3 (19.4.2018 dismissal in default). Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004 was invoked for the same seven-day rule and is not a catalog key. Catalog hits EA1999(UP)::24-tariff-fact-forum, s135-1A-24-hour-FIR-is-mandatory, OFFTOPIC::s62-6-interest-generation-tariff, s62-6-interest-generation-tariff and s62-6-interest-only-for-overcharging-not-delayed-rebate are false positives.

INTERPLAY · EA1999(UP)::24

Section 24(7) seven-day publication rule invoked with Clause 3.8(a); not finally construed

HOLDING

The petitioner submitted that Section 24(7) required the new tariff to come into force only after seven days from the last date of publication (23.10.2012), so it could not be given retrospective effect from 1.10.2012. The Court recorded the submission, held that the matter required consideration, and moulded interim billing accordingly. It did not finally construe Section 24(7). ¶ 2

INTERPLAY · OFFTOPIC::dismissal-in-default-and-want-of-prosecution

Writ dismissed in default when none appeared to press it; interim vacated

HOLDING

On 19.4.2018 the list was revised, none appeared to press the writ, it was dismissed in default, and the interim order, if any, stood vacated, without a final ruling on the retrospective-tariff bill. ¶ 3

PRINCIPLE TAGS

tariff-no-retrospective-effect Prima facie, and only as an interim billing arrangement, a tariff published on 23.10.2012 was not applied from 1.10.2012: the petitioner was to pay at the new rate from 1.11.2012 and at the prior rate for October, with a bank guarantee for the October difference. Clause 3.8(a) and Section 24(7) were not finally construed. ¶ 2

prima-facie-scrutiny-interim-protection-on-disputed-assessment Disconnection on the impugned bill was stayed pending notice, subject to payment of the new tariff from 1.11.2012, payment at the prior tariff for October 2012 and of pre-October amounts by 10.12.2012, and a bank guarantee for the October difference, without prejudice and self-vacating on default. ¶ 2

want-of-prosecution-dismissal-vacates-interim-stay None appearing to press the writ, it was dismissed in default on 19.4.2018 and the 22.11.2012 interim order stood vacated; the Clause 3.8 / Section 24(7) challenge was left adjudicated. ¶ 3

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE FY 2012-13 TARIFF PUBLISHED ON 23.10.2012 COULD LAWFULLY BE GIVEN EFFECT FROM 1.10.2012, OR ONLY FROM 31.10.2012 UNDER CLAUSE 3.8(A), SECTION 24(7) AND REGULATION 139(2)

The 22.11.2012 view was that the matter required consideration; dismissal in default left the effective date adjudicated. ¶ 2-3

NOT DECIDED — WHETHER SECTION 62(6) OF THE ELECTRICITY ACT, 2003 INDEPENDENTLY BARRED RECOVERY OF THE NEW TARIFF FOR OCTOBER 2012

Cited by the petitioner as a bar on recovering tariff in excess of that determined under Section 62; not applied. EA2003::62 is not a catalog key. ¶ 2

NOT DECIDED — VALIDITY OF THE NEW TARIFF AS DETERMINED BY THE U.P. ELECTRICITY REGULATORY COMMISSION

The petitioner expressly did not dispute the Commission's determination. ¶ 2

